

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 543

BY COMMERCE AND HUMAN RESOURCES COMMITTEE

AN ACT

RELATING TO THE PUBLIC EMPLOYEE RETIREMENT SYSTEM; AMENDING SECTION 59-1308, IDAHO CODE, TO REVISE PROVISIONS REGARDING QUALIFIED PRE-TAX CONTRIBUTIONS AND INVESTMENT EARNINGS AND CERTAIN QUALIFIED ROTH CONTRIBUTIONS AND INVESTMENT EARNINGS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 59-1308, Idaho Code, be, and the same is hereby amended to read as follows:

59-1308. SUPPLEMENTAL BENEFIT PLAN -- CONTRIBUTIONS AND EXPENSES OF THE SUPPLEMENTAL BENEFIT PLAN -- INDEMNIFICATION. (1) The state shall sponsor and the board shall administer one (1) or more supplemental benefit plans to be used for allocation of extraordinary gains as provided in section 59-1309, Idaho Code, and for voluntary contributions of active members. The supplemental plans may be established under the qualified requirements of section 401(a) of the Internal Revenue Code and with the qualified cash or deferred arrangements under section 401(k) of the Internal Revenue Code or any other tax-deferred plan permitted by law, as determined by the retirement board. The board is authorized to secure such qualified staff and consultants as it determines necessary to establish and administer such plans. Employee and employer contributions shall be permitted according to the provisions of these plans as established by the board. For purposes of this section, "employee" shall mean a participant as defined in the supplemental benefit plan documents or board rules.

(2) The board is authorized, but not required, to establish separate trust funds to hold the assets of the supplemental benefit plans created under this section. The investment options available under supplemental benefit plans shall be determined by the board and may include but are not limited to investment in all or part of the public employee retirement fund and use of private vendor options.

(3) Supplemental benefit plans shall be available to all active members and shall be in addition to any other retirement or tax-deferred compensation system established by the employer. The board may provide educational opportunities related to supplemental benefit plans and retirement savings, as determined by the board.

(4) Accounts shall be established in supplemental benefit plans for all active members eligible for an extraordinary gains transfer under section 59-1309, Idaho Code. After the initial transfer of extraordinary gains, any active member may make additional voluntary contributions to his/her account, subject to applicable limitations, by authorizing his/her employer to contribute an amount by payroll deduction to the supplemental benefit plan in lieu of receiving such amount as salary. The amount of such contribu-

tions shall be subject to any limitations established by the board or state or federal law. The employer shall provide coordination of contributions between multiple plans to assure that contribution limits are not exceeded. Should aggregate contributions to multiple plans exceed applicable limits, excess contributions shall be deemed to apply exclusively to plans not created by this chapter. In the event a preexisting plan is used as a supplemental plan, voluntary contributions may continue to be made to that plan despite the absence of extraordinary gains transfers.

(5) For purposes of this section, the employer is authorized to make such deductions from salary for any employee who has authorized such deductions in writing. The employer shall forward all contributions under this section to the board by the fifth working day after each payroll, in addition to reports as directed by the board. Any costs incurred by the board, whether direct or indirect, due to an employer's failure to properly withhold, transfer, limit and report contributions, shall be the responsibility of the employer and shall be immediately due and payable upon notice from the board. This includes but is not limited to costs associated with plan corrections. Such costs shall be treated as delinquent contributions under section 59-1325, Idaho Code.

(6) The board may enter into agreements with employers or require participation to implement the supplemental benefit plans, and the board may designate administrative agents to execute all necessary agreements pertaining to the supplemental benefit plans.

(7) All contributions received from participants in the supplemental benefit plans shall be deposited with a trustee designated by the board. All such funds are hereby perpetually appropriated to the board, shall not be included in the department's budget, and may be invested or used to pay for investment and administrative expenses of the supplemental benefit plans. Inactive members may be required to transfer supplemental benefit plan account balances as determined by the board.

(8) The board may establish rules to implement and administer supplemental benefit plans. Costs of administration shall be appropriated by the legislature and may be paid from the interest earnings of the funds accrued as a result of the deposits or as an assessment against each account, to be decided by the board. Investment-related expenses are exempt from appropriation.

(9) (a) Qualified pre-tax contributions and investment earnings under the supplemental benefit plans shall be in compliance with the requirements of sections 401(a) and 401(k) of the Internal Revenue Code, as now in effect and as hereafter amended, or any other tax-deferred plan permitted by law.

(b) Qualified ~~after-tax contributions~~ Roth contributions and investment earnings shall be in compliance with the requirements of ~~section 401(k)~~ sections 401(a), 401(k), and 402A of the Internal Revenue Code as now in effect and as hereafter amended.

(c) Distributions of funds held in supplemental benefit plan accounts are subject to federal law limitations. The board may provide for retirement disbursement options other than lump sum payments.

(10) All additional contributions made by the employee under this section shall continue to be included as regular compensation for the purpose

1 of computing the employer and employee retirement contributions and pension
2 benefits earned by an employee under this chapter, but such sum shall not be
3 included in the computation of any income taxes withheld on behalf of any em-
4 ployee. However, funds accrued in a supplemental benefit plan account shall
5 not be considered in determining any other benefits under this chapter.

6 (11) The provisions of sections 59-1316 and 59-1317(1), (2) and (5),
7 Idaho Code, shall also apply to the supplemental benefit plans created under
8 this section. Should a court order that an assignment be made to a partici-
9 pant's spouse or former spouse of all or part of an account created under this
10 section, the assignment shall be separate and distinct from any approved
11 domestic retirement order required by section 59-1317(4), Idaho Code. Re-
12 quirements for assignments of supplemental accounts may be set forth in rule
13 or other plan documents.

14 (12) Members of the retirement board or retirement system staff shall,
15 jointly or individually, be provided a defense and indemnified against all
16 claims, demands, judgments, costs, charges and expenses, including court
17 costs and attorney's fees, and against all liability losses and damages of
18 any nature whatsoever arising out of and in the course and scope of their
19 official duties and functions in administering any plans created pursuant
20 to the provisions of this section to the same extent as provided in section
21 59-1305(1), Idaho Code. The venue of all actions in which the retirement
22 board or retirement staff is a party shall be in Ada county, Idaho.

23 SECTION 2. An emergency existing therefor, which emergency is hereby
24 declared to exist, this act shall be in full force and effect on and after
25 July 1, 2026.